

Swati Chugh — IUL vs. Index Fund: Side-by-Side Comparison

What happens if you invest \$100k/yr yourself vs. taking the premium-financed IUL? • April 2026

KEY ASSUMPTIONS

	Index Fund (Taxable)	Lincoln WealthBuilder IUL
Your cash outlay	\$100,000 / year for Years 1–10 ONLY (total \$1,000,000 from your pocket — then stops)	\$0 — premiums financed by lender (zero out of pocket, ever)
Growth rate	9% gross / ~8.95% net (S&P; 500 avg, before tax)	7.19% credited (non-guaranteed, per illustration)
Tax on growth	Dividends taxed annually @ 15% Capital gains taxed @ 20% on withdrawal	Tax-deferred inside policy Distributions via loans = tax-free
Distribution start	Year 21 (age 64)	Year 21 (age 64)
Annual distribution	\$150,000/yr (net after tax)	\$150,000/yr (tax-free policy loan)

AT YEAR 20 (AGE 63) — BEFORE DISTRIBUTIONS START

	Index Fund	IUL
Total cash YOU put in	\$1,000,000 (yrs 1–10 only, then stops)	\$0 (lender paid everything)
Gross account value	\$3,787,544	\$6,151,469 (pre-loan-repayment)
Tax cost to access all of it	~\$449,417 (capital gains tax)	\$0 (loans are tax-free)
Spendable / net value	\$3,338,127	\$1,348,332 (after \$5.24M loan repaid)
Death benefit to heirs	~\$3.8M (taxable estate asset)	\$3,088,987 (income-tax-free to heirs)

YEAR-BY-YEAR: \$150K/YR WITHDRAWALS STARTING YEAR 21 (selected milestones)

Yr	Age	Index Fund After-Tax Balance	Tax Paid This Year	IUL Cash Value (Net)	IUL Death Benefit	IUL Advantage (Balance)
20	63	\$3,338,127	—	\$1,348,332	\$3,088,987	(\$1,989,795)
21	64	\$3,466,683	\$20,941	\$1,322,504	\$3,015,057	(\$2,144,179)
25	68	\$4,109,893	\$23,128	\$1,288,841	\$2,958,027	(\$2,821,052)
30	73	\$5,297,750	\$25,047	\$1,479,690	\$2,915,634	(\$3,818,060)
37	80	\$8,085,583	\$26,712	\$2,564,940	\$3,619,392	(\$5,520,643)
40	83	\$9,886,361	\$27,180	\$3,473,105	\$4,766,676	(\$6,413,256)
43	86	\$12,204,790	\$27,546	\$4,739,521	\$6,323,876	(\$7,465,269)

INDEX FUND @ AGE 80

After-tax balance: \$8,085,583

After 17 yrs of \$150k/yr net withdrawals. You invested \$1,000,000 total (yrs 1-10 only). ~\$27k/yr in capital gains taxes paid.

IUL @ AGE 80

Cash value: \$2,564,940

Death benefit to heirs: \$3,619,392 (income-tax-free) You invested \$0. All distributions tax-free.

THE BOTTOM LINE: If you invest \$100k/yr for just 10 years (total \$1M out of pocket) into an index fund at 9%/yr and then withdraw \$150k/yr from age 64, you still have ~\$8M after-tax at age 80 — the fund keeps growing faster than you draw. The IUL leaves ~\$2.6M in cash value at age 80 (plus a \$3.6M death benefit to heirs, tax-free) but costs you nothing. The honest trade-off: the index fund builds more personal liquid wealth if you can stomach the \$1M upfront and annual tax drag — the IUL wins on zero cash outlay, tax-free income, and a guaranteed death benefit your heirs receive tax-free.

Index fund projections are hypothetical, using 9% gross annual return, 0.05% expense ratio, 2% dividend yield taxed at 15% annually, and 20% federal LTCG on withdrawal gains. State taxes not included. IUL values sourced from Lincoln Financial illustration dated March 10, 2026 assuming 7.19% non-guaranteed credited rate. Actual results will vary. This is not investment or tax advice. Consult a qualified advisor.